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The Making of a Development Bank

EVEN AS THE SHROFF COMMITTEE was in the process of starting work, far away in Washington, Eugene R. Black Sr, President of the World Bank, mooted the idea of setting up a privately owned and externally assisted industrial development banking institution in India. While the origins of this proposal are not clear, what is known is that at a dinner meeting in Washington earlier the same year, the RBI Governor, B. Rama Rau, had aired the idea of setting up in India an institution modeled somewhat along the lines of the Commonwealth Development Finance Company (CDFC) in the United Kingdom. The audience included George Woods, Chairman of the First Boston Corporation, who was attracted by the idea. Shortly thereafter, the US administration came up with the idea of using the counterpart rupee funds of a $15 million steel loan to set up a development bank in India with assistance from the World Bank.[1]

The idea of an industrial development bank was not new and Black's idea was one of two competing proposals which were advanced in the early 1950s. The first came in August 1953 from T.T.K., then Minister for Commerce and Industry in the Government of India, who proposed an industrial development corporation comprising government nominees, scientists and engineers, and industrialists which would plan and initiate projects, coordinate investments, provide technical and managerial expertise, and help raise resources for undertaking these investments. Since a statutory corporation would take time to establish, T.T.K. proposed that